

their responsibility for other people's money and take pride, therefore, in acting professionally. True, their own money is usually at risk, too, for most mutual fund managers have a good chunk of their personal net worth mixed in the pot with yours, but that adds motivation without taking away from the realization that the overwhelming percentage of the fund represents other people's life savings.

All things considered, then, mutual funds make sense for most people. I can see what legendary former Fidelity Magellan manager Peter Lynch was driving at—though I suspect he was indulging in a bit of hyperbole—when he wrote: "Twenty years in this business convinces me that any normal person using the customary three percent of the brain can pick stocks just as well as, if not better than, the average Wall Street expert." Maybe Lynch knew my Uncle David. But there's more to managing a pile of money than picking stocks. There's tracking their progress, knowing when they should be sold, getting the right mix of stocks, adding the garlic and lemon-grass of foreign issues, and all the rest. It is not a job for amateurs who aren't willing to commit a great deal of time and study to the process.

Nor am I impressed by the studies that show that the average professional investor doesn't beat "the market," usually referring to the Standard & Poor's 500 Index. After all, professional investors run some 90 percent of the market. By definition, a huge group cannot beat its own average, for the same reason you can't bite your own ear.

An index fund provides average performance at a fraction of the cost of an actively managed fund, and over time that cost advantage accumulates and gradually raises the index fund in the rankings of all funds. The average manager should generate the results of the index minus 1 percent expenses, which is exactly what the statistics show. Garrison Keillor described the village of Lake Wobegon as the place where "all the children are above average." Professional money managers can't make that claim.